TECHNICAL ANNEX B TO CODE 16 — OPERATING MANUAL FOR DISENGAGEMENT AND FEDERATION

Version: V1.7

Technical annex adopted pursuant to Article 19 of Code 3. This Annex does not constitute an autonomous source of sanctions nor does it introduce autonomous individual obligations. It defines criteria and operating tools for the verification of the institutional thresholds of Code 16. In the event of conflict, Code 16 shall prevail.

Art. 1 — Nature, temporal coordination and definitions

1. This Annex provides operating tools for the transition and for federation. Its provisions bind the institutional bodies exclusively for the purposes of verifying the thresholds of Code 16 and may not be applied to impose individual conduct not provided for by the Codes or by the applicable legislation.
2. This Annex does not establish an autonomous chronology nor does it modify the phases of Code 16. The durations indicated in Articles 3–7 are minimum operating references, subordinate to the thresholds and to the resolutions provided for by Code 16:

   a) Articles 3 and 4 implement preparatory activities of Phase 0 and of Phase 1;

   b) Article 5 applies in the pathway leading from Phase 1 to Phase 2;

   c) Article 6 applies in the pathway from Phase 2 to Phase 3;

   d) Article 7 governs external dissemination during the transition, remains as technical guidance after closure and does not constitute a Phase 4 of Code 16.

   No operating time limit may authorise the passage to an institutional phase before the relevant thresholds of Code 16 have been passed.
3. For the purposes of this Annex:

   a) **extractive system** means: the set of activities, contracts and supply chains that gives rise to a critical proprietary dependency pursuant to Code 2, Article 5, or to a critical dependency pursuant to Code 15, as documented in the Dependency Register;

   b) **territorial bloc** means: an operational coordination unit composed of one or more minimum Federations already constituted pursuant to Code 16. The bloc has no institutional autonomy, no deliberative powers over the commons and no Fund of its own, and operates exclusively for coordination, the exchange of knowledge and the preparation of common plans for the reduction of dependencies. If it comprises a single minimum Federation, it does not duplicate that Federation's institutions;

   c) **N/NN/S classification** means: a technical classification of goods and services carried out in accordance with Code 1, Articles 18 and 32, the Basket STV and C.1-Annex A, Article 1, paragraph 2:

   - **N — necessary**: a good or service of Basket 1-2 for which no adequate internal alternative has been verified;
   - **NN — not necessary**: a good or service not included in Basket 1-2, or for which an adequate internal alternative has been verified;
   - **S — incompatible dependency**: a good or service that contributes to a critical proprietary dependency, entails a violation of Article 9 of Code 16 or is produced in violation of a safety STV applicable to risks of level R2 or higher.

   The classification shall be reasoned, recorded and published with a reference to the competent sectoral Code. It concerns goods, services and dependencies; it does not constitute a moral assessment of persons or of their individual behaviour.

Art. 2 — Requirements for public initiatives and accounting rules

1. Before launching public initiatives for the reduction of external dependencies, the Circle shall verify cumulatively that:

   a) Basket 1-2 is guaranteed;

   b) a separate Legal Fund has been constituted within the Common Fund provided for by Article 17 of Code 15, and an agreement has been concluded, for each Basin, with at least one professional firm, including a protocol of protection against retaliation;

   c) internal coordination operates on a self-hosted federated Network, with at least one node functioning in accordance with Code 7;

   d) the documentation is kept in a versioned and replicable repository;

   e) there are no direct debt or financial dependencies between territorial blocs.

2. The requirements of paragraph 1 concern the institutional suitability to launch the initiatives provided for by this Annex. They do not limit individual rights, lawful activities, access to essential services or recourse to the Guarantee.

3. The savings resulting from the documented cessation of purchases relating to NN or S goods shall be accounted for separately in the accounting register of the Storehouse, with a distinct entry description and documentation of the purchase that has ceased. The corresponding accounting item shall be formally identified in the applicable accounting system.

4. The saving shall be certified by the Storehouse Council, after the mandatory opinion:

   a) of the Agroecological Council for foodstuffs;

   b) of the Energy and Water Council for energy and water;

   c) of the Production Council for other goods.

   The verification shall ascertain that the cessation actually concerns NN or S goods and does not reduce the availability of an N good lacking a verified internal alternative. In case of doubt, the item shall be classified N until the investigation is completed.

5. The certified economic saving may be converted monthly by the Transition Council into an equivalent pool of hours, exclusively in order to measure the organisational capacity of the Circle. The calculation uses a public table approved by the General Assembly, based on the local average hourly cost of the activities necessary for Basket 1-2.

6. The pool of hours referred to in paragraph 5 constitutes an organisational indicator of the Circle: it is not money, it is not transferable and it does not constitute an individual credit. No person may be obliged to provide hours by way of compensation.

7. Ten per cent of the certified monetary savings shall be allocated to the Common Fund in accordance with Article 17 of Code 15. The payment may not be charged to individual persons nor affect Basket 1-2.

Art. 3 — Initial operating module: publication and census

Indicative minimum operating duration: from zero to ninety days, within the institutional Phase 0 of Code 16.

1. The module aims to determine the actual capacity of the Circle and does not constitute a recruitment campaign.

2. The institutional activities provided for are:

   a) to publish Codes 1–16 and the Technical Annexes in an accessible, versioned and replicable repository;

   b) to collect voluntary expressions of availability for legal, tax, agroecological, energy, water, health competences pursuant to Code 6 and information technology competences pursuant to Code 7.

3. The module is deemed documented when the following are shown:

   a) the total time available for the activities of the Circle has been surveyed in aggregated form;

b) the L1, L2 and L3 competences have been recorded in accordance with Code 5, Article 10;

c) the land, the machines, the equipment, the PPE, the seeds and the energy resources available have been surveyed;

d) the actual needs of Basket 1-2 have been surveyed;

e) the provisional Storehouse in accordance with Articles 13–22 of Code 1 and the minimum Knowledge Storehouse in accordance with Code 5, Article 3, are active, with separate accounting for provisional and definitive goods;

f) the Common Fund and the separate Legal Fund are active in accordance with the applicable rules;

g) the coordination node on the federated Network is operational;

h) the application of Level 1 of the Social Start-up Protocol has been documented.

4. During this module, the continuity of the external work, school and purchasing activities necessary for personal security and stability is recommended. Participation in the internal activities of study, census and L1 training is voluntary and may not be imposed in conflict with the rights of persons.

Art. 4 — Operating module of substitution

Indicative minimum operating duration: from ninety to one hundred and eighty days. The start and the conclusion remain subordinate to the institutional phases and to the thresholds of Code 16.

1. The module aims to develop internal alternatives until the threshold of self-production of Basket 1-2 provided for by Code 16 is reached. The percentage is calculated in accordance with a public and uniform methodology defined by the Basket STV.
2. The substitution activities shall be planned by domain in accordance with Code 16, Article 3, paragraph 2.
3. The continuation of external work activities by the persons involved is voluntary. This Annex does not limit the right to terminate or modify an employment relationship in accordance with the legislation applicable in the territory concerned and does not authorise the violation of contractual obligations or mandatory rules.
4. During the module, Level 2 of the Social Start-up Protocol shall apply, comprising:

   a) double facilitation of the Assemblies, with rotation and a prohibition on combining the roles of facilitator and proposer;

   b) verification of overload in accordance with Article 3 of the Protocol and Code 1, Article 6, paragraph 5;

   c) use of aggregated and non-profiling indicators;

   d) voluntary recourse to social reparation, without prejudice to access to Code 4.

Art. 5 — Module of selective reduction of dependencies

Indicative minimum operating duration: from one hundred and eighty to three hundred and sixty-five days. The module may begin only after the relevant institutional authorisation and in compliance with Code 16.

1. The module plans the selective reduction of the purchases and of the productive activities that feed dependencies incompatible with material autonomy. It does not authorise violations of the law or of mandatory contractual obligations, or interruptions of Basket 1-2.
2. For each Circle the following shall be prepared and kept up to date:

   a) a list of the goods or services that it is intended no longer to produce for the external market;

   b) a list of the external purchases that it is intended to cease or reduce;

   c) the N/NN/S classification, the reasons and the reference to the sectoral Codes.
3. The objectives for the reduction of consumption shall be defined on the basis of a documented initial

value. The cessation of goods classified S shall be pursued as a priority; NN purchases shall be reduced in accordance with a progressive plan. No reduction may concern an N good lacking an adequate internal alternative. The indicative objective of reducing by fifty per cent, within thirty days, the value of the supplies classified as dependency on the extractive system is applicable only if compatible with the continuity of the Basket, with safety and with the legal obligations in force.

4. Any choice relating to overtime, tasks not owed or cessation of production shall be made by the persons concerned within the limits of the applicable labour, trade-union and contract law. Before collective initiatives that may affect employment relationships or contracts, a local professional legal opinion is required.

5. Sabotage, damage, unlawful blocking of traffic, unlawful occupation and any conduct that violates mandatory rules are in any case prohibited. This Annex does not constitute an autonomous authorisation for such conduct.

6. Tax obligations shall be fulfilled in full. Any donations or allocations of tax-creditable or deductible shares to Third Sector entities or commons are voluntary and shall be made through competent professionals in accordance with Code 15 and the applicable rules.

7. During the module, the following shall be activated, each in the phase in which Article 3 of Code 16 provides for it and in accordance with the sectoral Codes:

   a) the provisional minimum Biodiversity Register;

   b) the register of general risks;

   c) the inventory of critical machines, of PPE and of collective protections;

   d) at least one sanctuary per Basin, in accordance with Code 13, Article 4;

   e) the Biodiversity, Safety, Care, Habitat and Territory, Agroecological, and Energy and Water Councils.

Art. 6 — Module of federation and coordination between blocs

Indicative minimum operating duration: from three hundred and sixty-five to seven hundred and thirty days, subordinate to the institutional phases of Code 16.

1. The federation pathway requires, each in the phase in which Article 3 of Code 16 provides for it:

   a) the aggregation of at least three Basins;

   b) the first version of the Dependency Register in accordance with Code 15, with a plan with a fixed time limit for each critical dependency;

   c) L3 audits on ecological, safety and food autonomy;

   d) a node of the federated Network operational in every Basin;

   e) the actual overcoming of at least fifty per cent of the critical dependencies registered, calculated in accordance with public and verifiable criteria.

2. The connection of a new territorial bloc takes place in accordance with the following rules:

   a) Codes 1–16 shall be translated and adapted to the law applicable in the territory concerned by local legal professionals; the automatic importation of the legal model of another bloc is excluded;

   b) exchange between blocs not yet integrated into the same federal regime shall be oriented towards knowledge, STVs, free seeds, repair sheets and protocols. Inter-bloc debt and monetary exchanges are excluded where incompatible with the applicable transitional rules;

   c) at least one monthly coordination meeting between blocs shall be organised. The discussion shall include a survey of the purchases and dependencies still tied to the extractive system and shall produce, where necessary, a common exit plan;

   d) the crisis or the interruption of the activities of one bloc does not automatically give rise to the interruption of the other blocs. Continuity measures consistent with the Basket and with the applicable Codes shall be prepared.

Art. 7 — External dissemination

1. This Article governs external dissemination during the transition; after closure it remains as technical guidance without normative effect. It does not constitute a phase of Code 16 and does not modify the definition of Phase 4, which in Code 16 corresponds to closure.
2. External dissemination is assessed on the basis of the voluntary adoption of solutions on account of measurable functional advantage and does not require universal adherence.
3. The assessment may consider jointly:

   a) the documented adoption of an STV or Sheet by at least three external parties not adhering to the Confederation;

   b) a documented reduction in the cost of Basket 1-2 or in the risk classified R2 or higher compared with a comparable extractive alternative;

   c) the replicability of the solution without critical proprietary dependency.
4. For the purposes of this Article, an attestation of effectiveness consists of a written declaration by the adopting party describing the use, the duration and the results observed. The observation period is at least ninety days, unless the nature of the solution requires a different, reasoned period.
5. The attestation shall be verified by the Council competent for the subject matter and, where the adoption affects safety at R2 or higher, by an independent L3 member drawn by lot in accordance with Article 36 of Code 4.
6. The verification shall compare the documented results with a comparable alternative, considering Basket, safety and autonomy. External adoption does not, by itself, give rise to the activation of the Single World Balance provided for by Code 15, nor does it modify the conditions established by that Code.

Art. 8 — Operational suspension and restart

1. The operating initiatives provided for by this Annex shall be suspended, as regards the proposal for passage or the activity of reducing dependencies, when one of the following conditions occurs:

   a) Basket 1-2 is not guaranteed for three continuous months in a pilot Circle of the unit proposing the passage;

   b) more than twenty per cent of the valid responses to the anonymous questionnaire on perceived safety are negative in a pilot Circle of the unit proposing the passage;

   c) an R4 incident occurs that has not been managed in accordance with the applicable procedures or for which the required analysis of causes is lacking;

   d) the Legal Fund is exhausted.
2. The suspension does not interrupt the provision of the Basket, access to the Guarantee, the safety measures or the other individual rights. It entails the suspension of the proposal for advancement or of the initiatives concerned only. The inventories, the minutes, the censuses and the STVs already verified shall be kept with an annotation of the cause.
3. The restart requires certification of the removal of the cause by the competent bodies:

   a) for the condition referred to in paragraph 1, letter b), the Council of reference for care, with the new verification provided for by Article 4, paragraph 6, letter c), of Annex A, in accordance with the procedure of that paragraph, which is the only one applicable to this condition;

   b) for the condition referred to in paragraph 1, letter c), the Safety Council;

   c) for the condition referred to in paragraph 1, letter a), jointly the Storehouse Council and the Transition Council;

   d) for the condition referred to in paragraph 1, letter d), the Transition Council, after a professional legal opinion.
4. Upon restart, the conditions of the current phase relevant to the cause of the suspension shall be verified

again. The previous outcomes that are not affected by the cause remain valid.

5. The restart shall be resolved by the General Assembly, after the mandatory opinion of the competent Councils, and published in accordance with Article 15 of Code 3. Where the suspension for the condition of paragraph 1, letter b), concerns only the proposal for a change of phase, the proposal resumes with the positive outcome of the new verification of paragraph 3, letter a), without a separate restart resolution.

6. The suspension does not constitute failure. In the cases of paragraph 1, letters a), b) and c), it attests exclusively to the temporary failure to pass the relevant threshold provided for by Article 4 of Code 16. In the case of paragraph 1, letter d), it concerns only the initiatives of this Annex, for which the requirement of Article 2, paragraph 1, letter b), is lacking, and does not affect the thresholds of Article 4 of Code 16.